

Rigetti Computing, Inc.
 RGTI NASDAQ

Neutral \$20.29 ▼ 1.72% 12M Price Target \$22.00 52-Week Range \$10.30 – \$58.15 Market Cap \$6.74B

RGTI: Quantinuum IPO Overhang Pressures Shares; Reiterate Neutral

WHAT'S CHANGED

- Stock down ~10.7% over 2 sessions (from \$22.70 6/15 close to \$20.28) as Quantinuum's pending IPO redirects scarcity-premium capital away from listed quantum pure-plays.
- Insider cluster selling continues: Director Ray Johnson dumped \$2.6M on 6/8 and CEO Kulkarni sold \$1.49M on 6/1 at \$24.38 — both above current levels, signaling internal valuation discipline.

IMPLICATIONS

The Quantinuum IPO introduces a credible, trapped-ion competitor with Honeywell/JPM backing into a previously narrow listed-quantum basket (IONQ, RGTI, QBTS, QUBT), and the resulting capital reallocation is mechanically compressing RGTI's scarcity multiple. With FY26E revenue of just ~\$18M against a \$6.74B market cap (~375x P/S), RGTI trades as a pure roadmap option — meaning sentiment shifts on competitive positioning, not fundamentals, drive near-term price discovery. The HPE/Intel partnership remains a strategic validator but, per Stocktwits coverage, is not generating incremental retail buying interest sufficient to offset the supply overhang.

VALUATION

At ~375x trailing P/S and ~210x FY27E revenue, RGTI is valued on TAM optionality (DOE/DARPA contracts, logical qubit milestones), not near-term cash flows — standard for pre-commercial deep tech. Our \$22 base PT implies essentially flat from spot, reflecting offsetting forces: HPE partnership validation and Ankaa-3 roadmap progress vs. Quantinuum dilution and persistent ~\$70-80M annual cash burn. Multiple contraction risk dominates if peer comp set expands further; expansion requires a credible logical qubit demonstration in 2H26.

KEY RISKS

- Quantinuum IPO pricing reveals premium valuation, triggering further multiple compression across listed quantum names
- Cash runway dilution risk — RGTI has historically funded operations via ATM equity issuance at unfavorable prices
- Technology bifurcation: if trapped-ion (IONQ/Quantinuum) demonstrates clear fidelity lead, superconducting roadmap (RGTI) loses enterprise mindshare

RECENT NEWS

Rigetti Stock Tumbles 9% as Quantinuum's IPO Grabs Investor Focus Zacks · 2026-06-17 15:13

3 Quantum Computing Stocks Down Sharply -- but 1 Offers Exceptional Value Motley Fool · 2026-06-17 08:51

Langston's | Equity Research Coverage

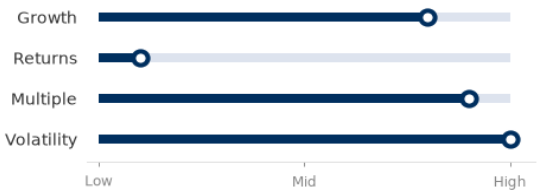
AI-Generated Pre-Market Brief | 2026-06-17 20:00 UTC

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Key Data

Price (USD)	\$20.29
12M Price Target	\$22.00
Upside / (Downside)	+8.4%
Market Cap	\$6.74B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.35)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$26.00	\$21.00	\$16.00
6 Months	\$32.00	\$22.00	\$14.00
1 Year	\$40.00	\$22.00	\$12.00
2 Years	\$55.00	\$25.00	\$10.00
5 Years	\$90.00	\$35.00	\$6.00
10 Years	\$180.00	\$50.00	\$3.00

SECTOR INTELLIGENCE

HOT SECTORS: Industrials (+5.87% 5D), Technology (+5.00% 5D)

COLD SECTORS: Energy (-6.21% 5D), Utilities (+0.87% 5D)

ROTATION WATCH: Technology leadership remains intact on a 5D basis but today's -0.52% suggests profit-taking; quantum/AI infrastructure names typically lag broad tech in risk-off rotations given binary outcome profiles.

BYPRODUCT PLAY: Cryogenic infrastructure (Bluefors-adjacent), specialty semiconductors (cryo-CMOS), and quantum networking optics benefit from sector capex regardless of which quantum modality wins — lower-beta exposure to the same theme.

OUTPERFORMERS & PEER CONTEXT

- HPE (Hewlett Packard Enterprise): Per Stocktwits, eyeing fourth straight monthly win as quantum partnerships add optionality without burn-rate exposure
- IONQ (IonQ Inc.): Larger scale and broader enterprise contract book provides relative defensive positioning within listed quantum basket

RGTI CONTEXT: RGTI is lagging the listed-quantum peer group — Zacks flagged a 9% single-day drop attributed to Quantinuum-specific concerns, suggesting the market views RGTI's superconducting architecture as more directly competitive with Quantinuum's trapped-ion offering than D-Wave's annealing approach.

INVESTMENT STRATEGY

4/10 Conviction Score

Position Size: 0.5-1.5% of portfolio (speculative sleeve)

Entry Points: \$14-16 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Failure to scale Ankaa-3 logical qubit fidelity or DOE/HPE contract loss

Hedging: Pair long RGTI vs short IONQ on relative qubit roadmap divergence